

Babcock & Wilcox **BW**

July 15, 2026 - 12:40am EST
by jnau

			2026	2027
Price:	11.19	EPS	0	0
Shares Out. (in M):	148	P/E	0	0
Market Cap (in \$M):	1,656	P/FCF	0	0
Net Debt (in \$M):	209	EBIT	0	0
TEV (in \$M):	1,865	TEV/EBIT	0	0
Borrow Cost:	General Collateral			

Description

Babcock & Wilcox (BW) - AI power priced for perfection, despite a single, one-time project from related parties. 45% downside with FY'28 EBITDA 35% below consensus.

Babcock & Wilcox services and constructs coal and antiquated natural gas power plants. The Company was priced for bankruptcy in 2025, but the stock has appreciated 1,000%+ from its lows since announcing a \$2.4 billion steam boiler project with Base Electron, a newly formed independent power producer. **At ~20x EBITDA today vs. ~10x historical average multiple, the market is pricing BW as if Base Electron is the first of many AI power projects. However, we think Base Electron will be a delayed, low margin and one-time project win.** The project was orchestrated by B Riley, who owns 20% of BW's shares and has a long history of related party transactions. BW shares are down ~50% from the high, but we believe the stock price reflexively increases the likelihood that B Riley monetizes its BW shares to stave off its own bankruptcy; conveniently, B Riley's lockup expires in mid-July. Our FY'27 target price is \$6.25 or 45% downside at 10x FY'28 EBITDA of \$113 million (35% below consensus). For further detail, we'd point readers to the Wolfpack Research and Sunlight Partners short reports.

Thesis Point #1: BW's Power Generation Product is Inferior to Alternatives

BW advertises a ~\$6 billion AI power pipeline, but we do not expect BW to convert these projects. **BW sells a steam boiler, which hasn't been used on a greenfield power plant in 40 years because it is non-competitive with modern alternatives.** BW's product costs ~33% more in upfront capex than Gas Turbines or is ~30% more expensive to operate than a Combined Cycle Gas Turbines, resulting in ~\$600mm of capex or ~\$200mm / year in operating costs for a Base Electron sized project. Steam boiler construction takes 3-4 years, longer than gas turbine lead times and comparable to CCGT systems. Owners would choose other behind the meter alternatives (1-2 years to power at similar capex / MW) or partner with established E&Cs to skip the turbine line (e.g., Microsoft / Chevron deal).

Exhibit 1: Power Generation Product Overview

Power Generation Options				
	<u>Steam Boiler</u>	<u>Gas Turbine</u>	<u>Combined Cycle (CCGT)</u>	
Primary Suppliers	BW	GEV, SIE, MIH	GEV, SIE, MIH	
Secondary Suppliers	Steam turbine OEMs	N/A	N/A	
<u>Qualifications</u>				
Online Time (construction)	3-4 Years	2.5-3.5 Years	4-4.5 Years	
Base Power Efficiency	33%	35%	58%	
Capex / MW (\$mm)	\$2.0	\$1.5	\$2.3	
Opex (\$/kWh)	\$0.079	\$0.068	\$0.060	

Source: Management commentary, expert call transcripts.

Thesis Point #2: Base Electron Project will Miss Consensus Estimates

We expect the Base Electron project to suffer delays. BW originally announced operations to begin in 2028 but this has been pushed to 2029 per BW's latest 10-Q. Management has stated Base Electron will be grid-connected and located in North Dakota, but no permits have been filed per our scan of public records. We expect the finish date drags to at least 2030 driven by bottlenecks with i) site selection (required for grid interconnection request), ii) air permits before construction start (12-18 months for approval), and iii) the grid interconnection request (3-5 years for MISO approval, post site selection). We have submitted additional requests for filed permits to North Dakota's environmental regulatory commission and will provide an update as further info is received.

Base Electron will also earn lower margins than consensus estimates. The \$2.4b project cost is split between i) ~\$430mm fixed cost for the steam turbine + boilers, and ii) ~\$2b of cost plus for construction services. We expect BW to earn ~5% EBITDA margins on its construction service revenues (akin to a General Contractor with limited self-perform work). We model FY'27 in line but FY'28 EBITDA ~35% below consensus, with \$175mm of cumulative project-level EBITDA.

Exhibits 2 and 3: Permit Search Results, Base Electron Project Financial Overview

Database	Search	Result
NDDEQ/CERIS-ND	Base Electron; air permits	Zero — only APLD permit is 60 backup diesel generators at Polaris Forge 1
ND PSC	Siting docket for >50 MW plant	"No records found" — zero applications
FERC eLibrary	"Base Electron," all dates	Zero — no EWG, no market-based rate filing, no interconnection
MISO Interconnection	ND gas projects	No Base Electron project found
Delaware SOS	"Base Electron"	Zero results

Base Electron

	FY'26	FY'27	FY'28	FY'29	FY'30	Cum.
Revenue \$						
Steam Turbine + Boiler	181	250	0	0	0	431
Construction Services Revenue	0	300	850	600	250	2,000
Total Base Electron Revenue	\$181	\$550	\$850	\$600	\$250	\$2,431
% Growth						
EBITDA \$						
Steam Turbine + Boiler	32	44	0	0	0	75
Construction Services	0	15	43	30	13	100
Total Base Electron EBITDA	\$32	\$59	\$43	\$30	\$13	\$175
Margin %						
Steam Turbine + Boiler	17.5%	17.5%	17.5%	17.5%	17.5%	17.5%
Construction Services	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%
Total EBITDA Margin	17.5%	10.7%	5.0%	5.0%	5.0%	7.2%

Catalysts

- **Core Decel:** The core business overearned from delayed coal plant retirements in 2025 because each plant takes upfront investment to refurbish and keep running. Q1'26 Backlog ex. Base Electron was down ~25% and we expect existing projects to be largely complete by 2027.
- **Increased Scrutiny over Related Party Transactions:** B Riley owns ~20% of BW's FDSO and has a long history of financial irregularity. B Riley is linked to Applied Digital, a data center operator, and helped form Base Electron (see appendix). We believe this relationship was instrumental to Base Electron selecting BW's power generation technology despite its clear weaknesses. Applied Digital and Base Electron were granted warrants in BW for their participation, which have since been converted and registered for resale.
- **Share Sales and Dilution:** B Riley is incentivized to reflexively sell its BW stake with BW shares down 50% from their peak. B Riley is priced for bankruptcy, with nearly 50% of its float shorted. We expect B Riley to monetize its ~\$350mm BW stake, which account for ~50% of B Riley's monetizable assets, ahead of its ~\$900mm maturity wall in 2028. **B Riley was locked up from selling after arranging Applied Digital and Base Electron's sales, but this lockup expires in mid-July. If B Riley begins selling, we would view this as confirmation that no credible deals will convert, and we would advocate pressing the short.** BW management has also taken every opportunity to dilute shareholders (see appendix) – both dilution and insider sales asymmetrically cap upside for the stock.

Risks

- **New Project Announcements:** We do not believe it's possible to frontrun a project announcement. However, quality of deal matters – BW announced a partnership with TerraSpark, a new coal plant operator, to build a greenfield 1.6GW coal plant. The market views TerraSpark with skepticism because they are highly undercapitalized and the project is a FEED study.
- **Base Electron Cost Overruns:** The Base Electron project is cost-plus, so BW benefits from cost overruns. These impact 2030+ revenue but could increase total project earnings.
- **Short interest / Retail:** Short interest is moderate at ~10% of float. The stock is held by Situational Awareness, which could create retail volatility around 13-F filings.

Valuation

BW trades at ~20x EBITDA vs. historical multiple range of ~5-10x before the announcement. Our FY'27 target price is \$6.25, down ~45% in our base case at 10x NTM EBITDA of \$113 million. Assuming no additional project wins, we estimate ~\$60mm of run-rate core EBITDA, implying the core business trades at 20x our exit enterprise value, which is generous despite coal's secular decline. Despite the current drawdown, we still favorably view the skew of outcomes here because of how high the multiple ran up on a potential project win.

• BW NTM Total Enterprise Value / EBITDA: Mean: 10.49x High: 38.11x Low: 4.75x Last: 21.07x

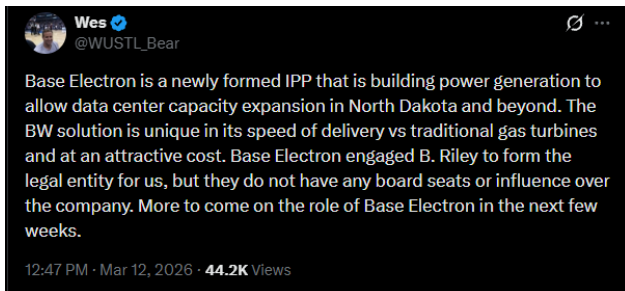


Appendix

Valuation Summary

Valuation Summary							
Ticker	BW	FDSO Valuation (Current Yr)	FY'26E	FY'27E	FY'28E	FY'29E	FY'30E
Case	Base						
		EV / Revenue	2.2x	1.5x	1.2x	1.4x	1.8x
Share Price	\$11.19	EV / EBITDA	27.0x	15.4x	16.5x	18.9x	24.6x
(x) FDSO	148	P / E	N/A	28.3x	39.5x	47.7x	73.2x
Market Cap	\$1,656.1	P / FCF	N/A	20.1x	20.5x	28.9x	43.2x
(+) Net Debt	209						
Enterprise Value	\$1,865.1						
		<u>Exit Valuation</u>					
		NTM EBITDA	\$121.4	\$113.3	\$98.8	\$75.8	
		Multiple	10.0x	10.0x	10.0x	10.0x	
		Share Price		\$6.25	\$5.26	\$3.71	
		Implied EV / NTM Revenue		0.7x	0.7x	0.7x	
		Implied P / NTM EPS		17.1x	17.4x	18.9x	
		% Change vs. Current		-44%	-53%	-67%	
		% IRR		-69%	-44%	-39%	
		Memo: Implied Enterprise Value		\$1,133	\$988	\$758	
		Implied Core Biz Multiple (\$60mm EBITDA)		18.9x	16.5x	12.6x	

Applied Digital CEO Base Electron announcement



Management will dilute BW Shareholders whenever convenient (Q3'25 Earnings Call)

Lastly, although we said on Friday that we would be pausing sales under the ATM program, we've decided to resume ATM sales and intend to sell shares under the ATM program opportunistically based on market conditions and our share price.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Base Electron delays

Core decel

Related party scrutiny

B Riley share sales / Dilution

Messages

Subject	Response from North Dakota Info Request & Downward Estimate Revision
Entry	07/28/2026 07:41 PM
Member	jnau

I received a response from the North Dakota environmental regulator for my air permit request. Two critical findings:

- As of 7/20, the Base Electron site selection process was ongoing based on correspondence between Base Electron's engineering firm and the regulator. This is the #1 gating factor for i) air permits (3-6 months for application, 12-18 months for approval) prior to construction start (30-36 months) and ii) grid connection (36-60 months).
- This confirms the site will be in North Dakota, most likely in Oliver or Mercer county based on the met data provided. While not covered in my original writeup, this gives us additional info to track other bottlenecks such as gas pipeline requests and environmental concerns. Oliver and Mercer are not adjacent to existing Applied Digital campuses, so this is additional confirmation that the project will require grid connection and will not be behind-the-meter.

At this stage of site selection, we now expect construction to begin in 2028 (out from 2027) and project completion at the end of 2030 with potential for completion in 2031. Our FY'27 and FY'28 EBITDA are now \$95-100 vs. \$110-120 prior. As a result, our FY'27 target price is now ~\$5 / share at the same 10x EBITDA multiple. We still see ~45% downside despite the ~20% move since posting.

From: [REDACTED]@ramboll.com>
Sent: Monday, July 20, 2026 8:34 AM
To: [REDACTED]@nd.gov>
Subject: RE: MET data

***** CAUTION: This email originated from an outside source. Do not click links or open attachments unless you know they are safe. *****

Good morning [REDACTED]

I hope you are having a good summer. I wanted to update you that the Base Electron site for which you provided the met and nearby source inventory information for below has been moved ~4 miles to the east. I wanted to confirm with you if this change in location requires updates to the information that you provided previously, or if we are approved to proceed with continuing to model using the previously provided met and nearby source data?

Additionally, with the recent release of AERMET version 26135, I wanted to confirm if the state has updated pre-processed met data that you would like us to use going forward, or if once again the previous met data that you provided processed with version 24142 is approved for us to continue using in our modeling.

Thank you
 [REDACTED]

Subject	Q2 Earnings Update
Entry	08/13/2026 08:18 PM
Member	jnau

BW reported mixed Q2 earnings earlier this week. The stock initially popped ~40% AH but completely faded gains the following day. Revenue of \$320mm beat expectations materially due to i) \$100mm of revenue from the Base Electron (BE) project and ii) higher construction revenues from non-BE projects. However, EBITDA \$s were in line at \$20mm at a 7% margin / 4% incremental. Despite the sizeable revenue beat, EBITDA guidance was just raised at the high end from \$80-100 to \$80-105 (\$42-67 in H2 vs. \$37 in H1).

BW has now recognized \$130mm / \$430mm of BE manufacturing revenues, which appear to be ahead of schedule. This is the simplest part of the project, where BW manufactures boilers and procures the turbine from Siemens. However, cash flows have not materialized, with receivables and contract assets growing by \$130mm in H1'26 while payables have been stretched \$100mm. We expect most of those payables are due to Siemens, who could feasibly be due \$200mm+ this CY (out of \$300mm of BW cash primarily generated from common stock issuance in H1). We still have limited evidence of BE raising funds, outside of their sales of BW shares, increasing likelihood BW will not receive timely payment.

Management blamed inflating labor costs for the 4% incremental EBITDA margins. At ~30% parts / ~20% project margins (incl. BE manufacturing), we estimate construction gross margins were ~0%. Based on our expert calls, we note construction cost overruns get worse as projects continue – it's incredibly difficult to course correct poor planning. BW nearly went BK in 2018 from cost overruns, and management has not commented on which projects or % completion of problem projects. We also believe our initial margin estimates for BE manufacturing and resale of Siemens turbines were too high, and are lowering our margin estimates on these revenues as well.

There was no change in the pipeline size but management has placed a 1GW order with Siemens for 20 new 50MW steam turbines. We expect this to be an additional use of cash over the next year. Management claims 2 years to power using these turbines, but this is non-competitive with other faster solutions (see our CEPL pitch for more detail). Even if a hyperscale customer is announced, they would be gated by the same permit issues BE is currently facing making 2 years unlikely for this product. We'll continue to watch for upside risk and estimate that it could generate \$100-125mm of EBITDA over a multi-year period if fully deployed (i.e., ~20% EBITDA upside / year over 5 years).

Lastly, BW management points to Q1'27 construction start and claims 'the permitting process is underway.' Based on the North Dakota Department of Environmental Quality findings I received, Sunlight Partners tracked an Oliver County [town hall](#) (see 3:29) BE attended on 8/10. BE has submitted conditional use and zoning applications to the County which could be the permits management is referring to, but state air and water permits are still the main gating factor. We still believe construction will not start in earnest until 2028.

Overall, we revise down our EBITDA estimates to ~\$70mm in FY'26 / ~\$80mm in FY'27 (from ~\$75mm / ~\$110mm) on lower margins across both construction and manufacturing for the BE project. R/r remains attractive with ~40% downside.